

Alberta Utilities Commission rejects power plant for Olds data centre plan | CBC News

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Alberta Utilities Commission rejects power plant for Olds data centre plan Many residents have voiced fervent opposition to project The Alberta Utilities Commission has denied an application to build a natural gas plant that would have powered a massive data centre complex in the small agricultural town of Olds, Alta. Synapse Real Estate Corp. had proposed a 10-building campus with 1.4 gigawatts of power generation — about enough to power the city of Edmonton. The plan also included 1.8 gigawatts of emergency and backup diesel generation. But the commission, in a decision published Monday, said the site won't work. "The project is too close to the surrounding community, and Synapse failed to demonstrate any compelling justification for selecting that location," the commission said. "The site is simply not suitable for the proposed development." Data centres house the computer servers and other hardware needed to power a variety of tech applications. With the advent of artificial intelligence, the required processing power has grown drastically — and with it, their thirst for electricity. Many residents in Olds, a town of 10,000, voiced fervent opposition to the project within town limits. They are concerned about noise, pollution, home values, safety and strain on local health care and emergency services. Olds is 80 kilometres north of Calgary. Olds resident Carol Edwards said she was overjoyed when she read the commission's decision. "There is no way they should have been placing a 1.4-gigawatt power plant right inside the boundaries of a small heritage town. It's blasphemy. It's monstrous," she said. The commission noted strong local interest. It said it had received applications from about 1,500 parties wanting to participate in hearings. It granted standing to more than 900. Typical proceedings would attract a few hundred applicants. The commission said in its decision that the project site boundary was about 30 metres from the edge of the first row of properties across a residential road, and was also near shops, restaurants and hotels. Synapse had said there were more than 700 residences within 800 metres of the site. Edwards said she had directly told Synapse CEO Jason van Gaal that she believed the location was all wrong. "This guy was told multiple times: 'Move it. Move it five kilometres outside of town and you will see that the resistance disappears,'" Edwards said. van Gaal did not immediately respond to a request for comment. The Alberta government has been courting big tech companies to set up shop in the province but is prioritizing projects that provide their own power for their data centres in order to not overburden the grid. The office of Alberta's utilities minister said the province studied the experiences of other jurisdictions that rushed data centre projects without the right safeguards. "While our government does not weigh in on decisions issued by the Alberta Utilities

Commission, decisions like this prove that our framework is working and our regulatory bodies are doing their job to protect the interests of Albertans and our communities,” a spokesperson for Affordability and Utilities Minister RJ Sigurdson said in an emailed statement. The commission is tasked with determining whether the accompanying power infrastructure is in the public interest, but decisions around zoning and land use for data centres fall to municipalities. The town government has seen data centre development as an opportunity for increased tax revenue and local employment. It said it had not received a development permit application from Synapse. “Throughout this process, the town has maintained that development must meet the required safety, environmental and regulatory standards before it can proceed,” the town said on its website Monday. “The AUC’s review is an important part of those checks and balances, and we respect its decision.” Data centre development has stoked consternation elsewhere in the province. Meta Platforms Inc., the tech titan behind Facebook and Instagram, announced plans last month to build a \$13-billion data centre complex in Sturgeon County, north of Edmonton. It would be linked up to an adjacent power plant to be built by Pembina Pipeline Corp., Morgan Stanley Infrastructure Partners and KinetiCor Asset Management. Hundreds of people gathered outside of Sturgeon County’s office earlier this month to protest the Meta data centre plant. Last month, a rural municipality bordering Calgary voted to pause new data centre proposals while the Rocky View County government works to pin down the rules that apply to such projects. The provincial government has announced it is holding a series of town halls in the coming weeks to gauge residents’ views on data centre development. Meanwhile in Olds, Edwards said it’s possible another developer may come knocking someday. “We’re organized, we know what we want and we know how to fight,” she said. “So I think that any data centre that considered coming here better think twice.”